



EDWIN LEFÈVRE

1870–1943

As author of the investment classic *Reminiscences of a Stock Operator*, among many other great books and articles, Edwin Lefèvre provided significant insight into the human nature of the investor. Lefèvre's life began far from Wall Street; he was born in Panama, where his father was stationed for business reasons. Although he graduated from Lehigh University in 1890 with a degree in engineering and mining, he embarked on a journalism career with the *New York Sun*. Unfortunately, his job entailed the tedious compiling of the daily commodities quotes for everything from eggs to petroleum. Finally, he convinced his editor to let him write a story on the banana industry. After it was published, he forged a lavish fan letter that convinced his editor to make him a full-time writer.

Lefèvre wrote exclusively for *The Saturday Evening Post* in the 1920s and 1930s, and during those years he became renowned for his Wall Street insights. For example, of bull markets he wrote: "They run their course because human nature does not change. Before they end they are apt to degenerate into a frenzied carnival of gambling. . . ." And take an example from 1932: "Reckless fools lose first because they deserved to lose, and careful wise men lose later because a world-wide earthquake doesn't ask for personal references." Never having dabbled in stocks, Lefèvre's primary means for obtaining the investor's perspective was through interviews. His son once recalled how his father could spend a mere 10 minutes with a subject and know all there was to know.

The 1929 crash and its aftermath provided plenty of material. In contemplating whether it would ever again be safe to invest, he wrote: "1. Never! 2. Always! Never for the crowd. . . . Always for the reasonable man; for it all depends upon what you call 'safe,' in a world peopled by fallible human beings." In *Vanished Billions*, Lefèvre brings out some of those fallible traits, such as the investor's unwillingness to acknowledge warning signs that the bull has run its course. He leaves the reader wondering if delusional mankind has learned anything from the horror of 1929.